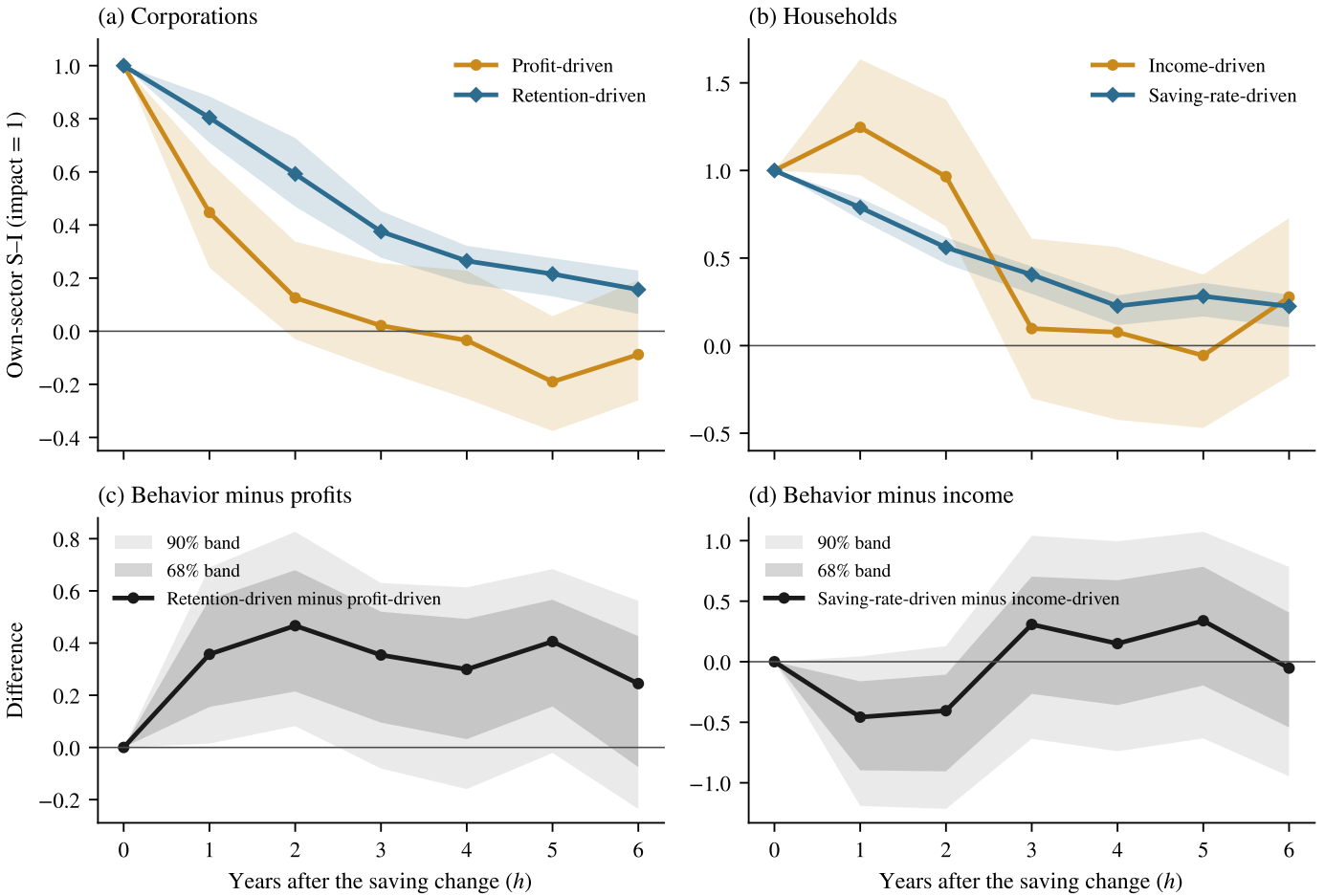
Profit-driven corporate saving fades faster than retention-driven saving



Notes: N = 871, 38 economies; same country-years at every horizon. Local projections of the own-sector saving–investment balance on the four components of the change in sector saving, with two lags of the four components, GDP growth and the own-sector balance (in levels), and country and year fixed effects; two-step weighted least squares. Responses are normalized by the impact response. Bands from a country-cluster bootstrap (499 replications).